

7.4 Women & Economic Development Guided Notes

What is the relationship between economic development and opportunities for Women?

Educational Opportunities:

Economic Opportunities:

Loans & Investment

Below note an observation made when reviewing graphs/maps/video on Girls/Women around the world.

Girls Not in School Graph

Beliefs about gender & right to work

Beliefs about what jobs women can perform

Maternity Leave Laws

Intimate Partner Violence Against Women

UNCDF & Women's Economic Empowerment

The Development of the Grameen Bank

In 1983, Muhammad Yunus started the Grameen Bank, which means “rural” or “village” in Bengali. He reasoned that if financial resources could be made available to poverty-stricken people through reasonable and appropriate terms and conditions, then these millions of small people with their millions of small pursuits can add up to create the biggest development wonder.

Yunus got the idea for the bank when he was an economics professor in Bangladesh. One day he took his students on a field trip to a small rural village in India. They interviewed a woman who was making bamboo stools to sell. After paying for the bamboo, she barely made a profit from her sales. Yunus loaned her money, and she was able to buy her raw material at a cheaper price in bulk. The result: she made a larger profit. The key to survival and economic growth for this woman - and many others like her - was just a little bit of money: a small loan.

The Grameen Bank offers microloans, or microcredits, with no collateral required, no legal contracts, low interest, and comfortable repayment plans. The bank provides loans to pay for raw materials, livestock, agriculture, grocery shops, and cell phones.

Borrowers repay monthly installments to bank representatives who visit them, listen to their stories, and discuss business successes and challenges. Money earned by women borrowers has a huge impact on their families, and these women tend to save their money or invest it, rather than spend it. In 2006, the Grameen bank and its founder were awarded the Nobel Peace Prize “for their efforts to create economic and social development from below.”

The success of Grameen Bank has led to the creation of many other microloan institutions. Yunus is proud of what he started and the women he has helped. “There are roughly 160 million people all over the world in microcredit, mostly women. And they have proven one very important thing: that we are all entrepreneurs.”

Describe how Grameen Bank can be an example for societal change.